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For example, as on 1st January, 2017, the balance as per cash book and the balance as per bank statement show the same balance of ` 10,000, but on 22nd January, a debtor directly deposits ` 5,000 into the bank account of the business. But no entry is made in the cash book as on that date. As a result of this,



Balance as per bank statement (` 15,000) is more than balance as per cash book



Balance as per cash book (` 10,000) is less than balance as per bank statement

(g) Amount paid directly by the bank to others

Sometimes the bank may be instructed to make payments such as, insurance premium, instalment of loan, etc., as an agent of the customer on behalf of its customer. In all such cases, debit is made in bank statement. But, the entry is made in the cash book only when the bank statement is received by the customer. Till then, the cash book shows more balance than bank statement.

For example, on 1st, March, 2017, balance as per cash book and balance as per bank statement show the same amount of `12,000. But, as per the standing instruction of its customer the bank pays ` 2,000 as insurance premium as on 28th March, 2017. But, no entry for such transaction is made in the cash book as on such date. As a result of this,



Balance as per cash book (` 12,000) is more than balance as per bank statement



Balance as per bank statement (` 10,000) is less than balance as per cash book

(h) Bills collected by the bank on behalf of its customers

When goods are sold by the business, the documents may be sent through the bank. When the bank collects the amount, it is credited in bank records. But, the entry is made in the cash book only when the bank statement is received by the business. Till then, the bank statement shows more balance than cash book.



Balance as per bank statement is more than balance as per cash book



Balance as per cash book is less than balance as per bank statement

8.3.2 Errors in recording

(a) Errors committed in recording the transactions by the business in the cash book

Sometimes, errors may be committed in the cash book. For example, omission or wrong recording of transaction relating to cheques deposited or issued, wrong balancing, etc. In these cases, obviously, there will be differences between bank balance as per bank statement and bank balance as per cash book.

For example, the cheque received for ` 10, 000 is not entered in the cash book, but has been deposited with the bank. As a result, on collecting the money the balance as per bank statement will be more by ` 10, 000.